

Vinod Kumar Saroj v. Purvanchal Vidhyut Vitran Nigam Ltd. And 2 Others

Allahabad High Court · Division Bench · 28 January 2021 · Writ - C No. 27519 of 2020 · **Writ petition disposed of; Executive Engineer to decide the 8.7.2019 objection on final assessment by a reasoned speaking order after hearing within four weeks; no coercive action on the 24.6.2019 recovery for six weeks or until that decision, whichever is earlier**

HEADNOTE

Where a Section 135 theft inspection is followed by a provisional assessment that the licensee treats as the recovery without considering a timely objection or affording a hearing, the consumer cannot be compelled to deposit that provisional figure. Applying paragraph 16 of Shishir Jain, the Division Bench directed the Executive Engineer, Purvanchal Vidyut Vitran Nigam Limited, Khand-Pratham, Varanasi, to decide the petitioner's 8 July 2019 objection by a reasoned speaking order on final assessment within four weeks after hearing, and stayed coercive action on the 24 June 2019 recovery for six weeks or until that decision, whichever is earlier. The Court did not quash the recovery, decide the theft allegation or quantum, or dispose of the restoration prayer.

FACTUAL SUMMARY

Vinod Kumar Saroj, an LMV-1 consumer of Purvanchal Vidyut Vitran Nigam Ltd. with a 1 kW connection, had a new meter installed on 17 June 2016 and the load enhanced to 2 kW on 19 June 2019. On 10 June 2019 a departmental team made a surprise inspection, found alleged illegal use of electricity, and registered a case under Section 135 of the Electricity Act, 2003. A provisional assessment dated 24 June 2019 demanded Rs.2,14,430 as one-year electricity assessment and Rs.12,000 as compounding fee (total Rs.2,26,430). The petitioner objected on 8 July 2019.

He sought certiorari to quash that recovery and mandamus to decide his 15 October 2020 restoration application. He said the Executive Engineer had proceeded to recover without hearing the objection, that a 6 March 2020 decision produced by the licensee related to some other person, and that no final assessment had been served. Counsel for the Power Corporation did not dispute that the provisional assessment had been treated as final without considering the objection.

HOLDING-UNITS

INTERPLAY · UP-2005::8.1

timely objection to a provisional theft assessment must be heard before final assessment and recovery

QUESTION

May a licensee recover a Section 135 theft demand by treating the provisional assessment as final without considering a timely objection or affording a hearing under Section 126(3) and Clause 8.1?

HOLDING

No. The petitioner had objected on 8.7.2019 to the 24.6.2019 provisional assessment. Counsel for the Power Corporation did not dispute that the provisional assessment was treated as final without considering that objection. Applying Shishir Jain paragraph 16, the Court held that without a final assessment after considering the objection and giving an opportunity of hearing, the consumer cannot be compelled to deposit the provisional amount. The Executive Engineer was directed to decide the 8.7.2019 objection by a reasoned speaking order on final assessment within four weeks after hearing. Coercive action on the 24.6.2019 recovery was stayed for six weeks or until that decision, whichever is earlier. ¶ 4-8

QUALIFIER

The Court did not itself pass a final assessment, quash the 24.6.2019 recovery, or decide the restoration application dated 15.10.2020.

FLAG Source is an unnumbered 3-page extract. A 21.1.2021 listing (same Bench) records that the licensee supplied an order dated 6.3.2020 said to decide the representation; the 28.1.2021 disposal is the reasoned order. Paragraph numbers are sequential blocks of the 28.1.2021 order after the cause-title (1 heard; 2 reliefs; 3 facts; 4 petitioner; 5 licensee; 6-7 Shishir Jain para 16; 8 direction and stay). Petitioner invoked Section 126(3) and Clause 8.1; the Court applied Shishir Jain without independently numbering a Code sub-clause. Cause-title spelling 'Vidhyut' retained.

PRINCIPLE TAGS

clause-8.1b-personal-hearing-mandatory-before-final-assessment The licensee treated the 24.6.2019 provisional theft assessment as final without considering the 8.7.2019 objection or granting a hearing. The Court applied Clause 8.1 with Section 126(3) and remitted the objection for a reasoned final assessment after hearing. Lead authorities: *Shishir Jain v. Paschimanchal Vidyut Vitran Nigam Ltd. and another*. ¶ 4-8

no-recovery-without-final-assessment-clause-8.1(b) Following Shishir Jain paragraph 16, the petitioner could not be compelled to deposit the provisional assessment in the absence of a final assessment after objection and hearing. Coercive action on the 24.6.2019 recovery was stayed pending that decision. Lead authorities: *Shishir Jain v. Paschimanchal Vidyut Vitran Nigam Ltd. and another*. ¶ 6-8

decide-objection-in-accordance-with-law The writ was disposed of by directing the Executive Engineer to consider and decide the 8.7.2019 objection in accordance with law by a reasoned speaking order on final assessment after hearing, without deciding the theft allegation or quantum. Lead authorities: *Shishir Jain v. Paschimanchal Vidyut Vitran Nigam Ltd. and another*. ¶ 8

coercive-recovery-stayed-pending-final-assessment Coercive action pursuant to the 24.6.2019 recovery was stayed for six weeks or until a final decision on the objection, whichever is earlier. The recovery itself was not quashed. ¶ 8

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — MERITS OF THE SECTION 135 THEFT ALLEGATION AND THE QUANTUM OF RS.2,14,430 PLUS RS.12,000 COMPOUNDING

Left to the Executive Engineer on the 8.7.2019 objection, to be decided by a reasoned speaking order after hearing. ¶ 8

NOT DECIDED — QUASHING OF THE RECOVERY ORDER DATED 24.6.2019

Prayer (i) sought certiorari. The recovery was not quashed; coercive action was stayed only for six weeks or until the objection is decided, whichever is earlier. ¶ 2, 8

NOT DECIDED — APPLICATION DATED 15.10.2020 FOR RESTORATION OF THE ELECTRICITY CONNECTION

Prayer (ii) sought a mandamus to decide that application. The operative order is confined to the 8.7.2019 objection on final assessment. ¶ 2, 8

NOT DECIDED — WHETHER THE 6.3.2020 DECISION PRODUCED BY THE LICENSEE RELATED TO SOME OTHER PERSON

The petitioner so contended. The Court did not determine whose order that was, and directed a decision on the petitioner's own 8.7.2019 objection. ¶ 4, 8

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Shishir Jain v. Paschimanchal Vidyut Vitran Nigam Ltd. and another</i> 2017 (3) AWC 3084 Allahabad High Court	Without a final assessment after considering the objection and giving an opportunity of hearing, the consumer cannot be compelled to deposit the amount of the provisional assessment.		Court	Followed